

26NNCV01919 26NNCV01919

County: los-angeles

Division: Civil Law and Motion

Department: T

Hearing date: 2026-07-01

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=ALH%2CT%2C07%2F01%2F2026

Source SHA-256: 0283140cd1495a97fbf818c7b26bc0ba317c3f14bb8a421f9682befd57741312

Case Number: 26NNCV01919 Hearing Date: July 1, 2026 Dept: T

Grigor

Khechoyan vs Tesla, Inc.

Motion

for Attorney's Fees and Costs

Moving Party: Plaintiff

Grigor Khechoyan

Responding Party: Defendant Tesla, Inc.

Tentative Ruling: Grant

in part

BACKGROUND

On March

16, 2026, Plaintiff Grigor Khechoyan ("Plaintiff") filed a complaint against Defendant Tesla, Inc. ("Defendant"), alleging various causes of action under the Song-Beverly Consumer Warranty Act.

On June 4,

2026, Plaintiff filed a notice of settlement in which Plaintiff informed the Court of the conditional settlement of the entire case and stated that a request for dismissal will be filed no later than August 1, 2026.

Plaintiff

now moves to recover reasonable attorney's fees and costs in the total amount

of \$32,035.70.

Defendant

opposes, and Plaintiff replies.

MOVING PARTY POSITION

Plaintiff argues that he is entitled

to recover his reasonable attorney's fees and costs as the prevailing buyer in the action under Civil Code section 1794(d).

Plaintiff argues that the lodestar method should be applied in assessing the reasonableness of his counsel's fees.

In applying the lodestar method, his counsel's fees are reasonable because the hourly rates charged by their counsel are consistent with other attorneys litigating consumer matters in this area of law. Plaintiff also argues that he is entitled to recover the fees and costs incurred in preparing the instant motion.

Plaintiff further argues that he is

entitled to lodestar multiplier of 1.2 as a fee enhancement based on the successful efforts of his counsel in obtaining an excellent outcome and due to the contingent nature of the representation.

Plaintiff finally argues that he is

entitled to recover reasonable costs and litigation expenses under Section 1794(d).

In sum, Plaintiff requests that the

Court grant the motion and award \$32,035.70 in total fees and costs, which are comprised of the following amounts: (1) \$26,140.00 in attorney's fees; (2) \$5,228.00 as a fee enhancement; and (3) \$667.70 in recoverable costs and expenses.

OPPOSITION

Defendant contends that Plaintiff's fee

demand is unreasonable based on the prevailing rate for noncontingent work in the community of lemon law litigation and given the relative lack of complexity in this practice area. Defendant further

contends that its counsel's rate is the superior market evidence for noncontingent work and that recent court and arbitration decisions corroborate this lower market rate.

Defendant also contends that Plaintiff's counsel's total hours of work warrant reduction due to excessive or improper billing entries, including but not limited to the following proposed reductions: (1) 3.5 hours of work conducted for case assessment, amounting to \$2,362.50; (2) 1.7 hours of work for complaint preparation, amounting to \$1,267.50; (3) 3.4 hours of work for review and research of a motion to compel arbitration, amounting to \$2,295.00; (4) 2.2 total hours of improperly billed clerical work by Plaintiff's counsel and his paralegal, amounting to \$1,342.50; (5) 1.1 hours of work for discovery activity, amounting to \$742.50; (6) 4.1 hours of work for the fee motion, amounting to \$2,767.50; and (7) 10.5 total hours of anticipated work after the cut-off date set forth in the settlement agreement, amounting to \$6,850.00. Defendant contends that a lodestar multiplier is not justified based on the circumstances of this case.

Defendant does not contest any of the costs.

REPLY

Plaintiff responds that their fee demand is reasonable and that his counsel's hourly rate is reasonable and justified based on his skill, experience, and reputation and the contingent nature of the litigation.

Plaintiff also responds his counsel's billing entries reflect expenditures of time that were reasonable and necessary for the litigation. Plaintiff further responds that, despite Tesla's contrary suggestion, his counsel did not delay in relaying the settlement offer to him.

Plaintiff finally responds that the settlement agreement does not cut off fees incurred with the fee motion itself and that no reduction or negative multiplier is warranted.

ANALYSIS

I. Legal
Standard

Civil Code section 1794(d) provides that a buyer who prevails in an action under that section, “shall be allowed by the court to recover as a part of the judgment a sum equal to the aggregate amount of costs and expenses, including attorney’s fees based on actual time expended, determined by the court to have been reasonably incurred by the buyer in connection with the commencement and the prosecution of such action.”

II. Discussion

A.

Entitlement to Attorneys’ Fees

At the outset, the Court notes that no order or judgment of dismissal has been entered in this action. “[A] dismissal or judgment in favor of the party seeking fees is a predicate to a fee award.” (*Hatlevig v. General Motors LLC* (2026) 118 Cal.App.5th 644, 650; see, also, *Berti v. Santa Barbara Beach Properties* (2006) 145 Cal.App.4th 70, 75 [“It is well settled that statutory costs and attorney fees are incident to the judgment.”].)

However, the parties do not dispute that a conditional settlement was reached, or that the settlement provided for Plaintiff’s recovery of attorney’s fees and costs. Moreover, because the term “judgment” as used in Civil Code section 1794(d) embraces final dispositions “recognized in other contexts as tantamount or equivalent to a judgment for purposes of Code of Civil Procedure section 998 and/or for allowing the trial court to determine the prevailing party and to award costs and fees under fee-shifting statutes,” the undisputed existence of the settlement provides the necessary predicate for the determination of the prevailing buyer and for the award of reasonable fees and costs.

(*Wohlgemuth v. Caterpillar Inc.* (2012) 207 Cal.App.4th 1252, 1263; see, e.g., *Goodstein v. Bank of San Pedro* (1994) 27 Cal.App.4th 899, 907 [reasoning that “a compromise agreement contemplating payment by defendant and dismissal of the action by plaintiff is the legal equivalent of a judgment in plaintiff’s favor”].)

Thus, the Court finds that Plaintiff is the prevailing party and is entitled to reasonable attorney’s fees and costs pursuant to Civil Code section 1794(d),

subject to the contractually agreed upon limitations set forth in the express terms of the settlement agreement. Therefore, Plaintiff's motion is proper.

B. Reasonableness of Fee Amount

Plaintiff seeks to recover \$26,140.00 in attorney's fees.

"[A]bsent circumstances rendering the award unjust, an attorney fee award should ordinarily include compensation for all the hours reasonably spent, including those relating solely to the fee. We explained that the purpose behind statutory fee authorizations—i.e., encouraging attorneys to act as private attorneys general and to vindicate important rights affecting the public interest—will often be frustrated, sometimes nullified, if awards are diluted or dissipated by lengthy, uncompensated proceedings to fix or defend a rightful fee claim." (Ketchum v. Moses (2001) 24 Cal.4th 1122, 1133-1124, emphasis in original.)

"The fee setting inquiry in California ordinarily begins with the 'lodestar,' i.e., the number of hours reasonably expended multiplied by the reasonable hourly rate. ... The lodestar figure may then be adjusted, based on consideration of factors specific to the case, in order to fix the fee at the fair market value for the legal services provided." (Id. at p. 1134.)

Therefore, the Court will consider the reasonableness of the \$26,140.00 fee amount sought by Plaintiff through application of the "lodestar" method.

1.

Reasonableness of Hourly Rate

In applying the lodestar method, the Court begins by determining the 'reasonable hourly rate,' i.e., the rate 'prevailing in the community for similar work.'" (Marshall v. Webster (2020) 54 Cal.App.5th 275, 285 [quoting PLCM Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095].) Under the general rule, the "relevant 'community' is that where the court is located." (Marshall, supra, 54 Cal.App.5th at p. 285 [quoting Altavion, Inc. v. Konica Minolta Systems Laboratory, Inc. (2014) 226 Cal.App.4th 26, 71].)

Here, Plaintiff's counsel, attorney Arye

C. Abraham of Abraham Law, PC, provided legal services on contingency for Plaintiff in the instant action at a billable rate of \$675.00 per hour. (Abraham Decl. ¶¶ 2, 7, 14-15; id. ¶ 13, Exh. 6 ("Billing Records").) In support of this hourly rate, attorney Abraham described his experience and background in litigating over 250 lemon law actions. (Id. ¶¶ 5-6.) In addition, attorney Abraham attached five recent rulings in the Superior Court of Los Angeles County in which a trial court found his prior hourly rate of \$625.00 and current hourly rate of \$675.00 to be reasonable. (See id. ¶¶ 8-12, Exhs. 1-5.)

Defendant contends that these rates are not commensurate with the market and the noncontingent rates charged by other attorneys in the area of lemon law litigation, including its counsel's noncontingent rate and the market rates set forth in the exhibited court and arbitration decisions. Based on the submitted evidence, the Court finds that the hourly rate of \$625 per hour is reasonable.

2.

Reasonableness
of Hours Expended

Padding "in the form of inefficient or duplicative efforts is not subject to compensation." (Premier Medical Management Systems, Inc. v. California Insurance Guarantee Association (2008) 163 Cal.App.4th 550, 556.) However, parties opposing motions for attorneys' fees fail to establish an abuse of discretion where they merely contend that amounts of attorneys' fees are excessive without providing an analysis or factual support. (Maughan v. Google Technology, Inc. (2006) 143 Cal.App.4th 1242, 1250; Avikian v. Wtc Fin. Corp. (2002) 98 Cal.App.4th 1108, 1119; see, also, Premier Medical, supra, 163 Cal.App.4th at p. 560 [emphasizing that opposing parties "submitted no evidence that the hours claimed by counsel were excessive," and declining to "declare as a matter of law that the hours were unreasonable"]; see, e.g., Villanueva v. City of Colton (2008) 160 Cal.App.4th 1188, 1204 [opposing party "offered no evidence of any kind which might have warranted a reduced fee award."].)

As an initial matter, the Court finds that the

attorney's fees sought by Plaintiff for work conducted by his counsel after the settlement agreement was executed by the parties on June 4, 2026, are not recoverable. Under the express terms of the agreement, Defendant agreed to provide, in relevant part, the following consideration to Plaintiff:

In

addition to the foregoing, Tesla shall pay Releasing Parties' attorneys' fees, costs, and expenses to date that have been reasonably incurred in an amount to be determined by the Court, by way of a single noticed motion, unless the Parties can agree on the amount of fees to be paid absent such a motion. For purposes of such motion only, Tesla agrees that Releasing Parties are the prevailing parties. Any Party may disclose the financial terms of this Settlement to the Court in connection with the motion for attorneys' fees.

(Hooper Decl. ¶ 9, Exh. G, at p. 1 of 5.) Under these terms, Defendant is only obligated to pay Plaintiff's attorneys' fees, costs, and expenses that were accrued to date, which reflects the mutual intention of the parties to contractually limit the amount of recoverable attorneys' fees to only those fees accrued on or before June 4, 2026. (See Civ. Code § 1636 ["A contract must be so interpreted as to give effect to the mutual intention of the parties as it existed at the time of contracting, so far as the same is ascertainable and lawful."]; id. § 1641 ["The whole of a contract is to be taken together, so as to give effect to every part, if reasonably practicable, each clause helping to interpret the other."].)

Although Plaintiff asserts that this fee term does not bar recovery of his attorney's fees for post-settlement work, Plaintiff fails to cite to any authority prohibiting the express waiver or limitation of fees, including fee motion fees, as part of a settlement agreement.

(Wohlgemuth, supra, 207 Cal.App.4th at p. 1263, fn. 10 ["Of course, parties are free to expressly waive attorney fees and costs as part of a compromise agreement."] The plain language of the agreement also does not support the interpretation that fee motion fees are independently recoverable, irrespective of whether such fees are accrued after June 4, 2026. (See generally Hooper Decl. ¶ 9, Exh. G.) Nor does Plaintiff offer any legal authority to support the existence of an independent statutory right to recover fee motion fees in connection with Section 1794(d), nor any authority to support the notion that such a right could not be waived or limited following an arms-length negotiation. Accordingly, as

the settlement agreement expressly limits the availability of fees to date and as this date is clearly discernable from the agreement

itself, the Court finds that the agreement bars Plaintiff's recovery of any fees accrued after June 4, 2026, and that Plaintiff's fee request in excess of this limitation is facially unreasonable under Section 1794(d), including the anticipated fee motion fees sought for his counsel. (Cf. Wohlgemuth, supra, 207 Cal.App.4th at p. 1263, fn. 10 ["But allowing a defendant to thwart an otherwise successful consumer's remedy under section 1794(d) by means of a compromise agreement silent on attorney fees and costs—merely because the means used to finally terminate the action was a dismissal rather than a formal judgment—would likely become a trap for the unwary consumer and a potential means of evading statutory compliance."] [emphasis added].) Thus, the Court strikes in their entirety the anticipated billable hours of work accrued after June 4, 2026, resulting in a total reduction of \$6,850.00 in anticipated fees for Plaintiff's counsel and counsel's paralegal. (See Billing Records.)

As

to the remaining categories of billed time challenged by Defendant in its opposition, including overlapping entries and others not specified therein that fall within these categories, the Court finds that counsel's billed clerical work was not reasonably incurred and thereby removes these fees from otherwise proper entries, resulting in a reduction 2 hours. (See Billing Records) In addition, the Court finds that the time spent by Plaintiff's counsel in preparing the instant fee motion, including time spent preparing the declaration and the breakdown of hours expended on the litigation, was facially excessive and not reasonably incurred, thus warranting a reasonable reduction of 3.6 hours of work. (Ibid.)

The Court otherwise finds that Plaintiff's counsel's billing entries reflect hours of work that were reasonably expended.

Thus, the request for attorneys' fees is granted in the reduced amount of \$14,375.

3.

Lodestar Multiplier

Plaintiff also seeks a fee enhancement of \$5,228.00, which appears to have been derived by applying a 0.20

lodestar multiplier to the requested fee amount of \$26,140.00. However, there is no indication that this case was complex or presented challenging legal issues, or that the negotiated repurchase of Plaintiff's vehicle for \$51,358.22 was an exceptional outcome produced by counsel's exceptional effort. As to the inherent risks posed by the contingent nature of the representation, the Court notes that the Song-Beverly Consumer Warranty Act provides a statutory guarantee that eliminates any uncertainty about whether fees and costs will be awarded to the prevailing party. (See, e.g., *Weeks v. Baker & McKenzie* (1998) 63 Cal.App.4th 1128, 1175.) Moreover, any contingency risk factor is already accounted for in the hourly rates, which the Court has found to be reasonable. (See, e.g., *Holguin v. Dish Network LLC* (2014) 229 Cal.App.4th 1310, 1333 ["Where, as here, the court determines that the lodestar itself constitutes a reasonable fee for the action at issue, no enhancement is warranted."].)

Thus, the Court denies the fee enhancement of \$5,228.00.

C. Costs and Expenses

Plaintiff seeks to recover \$667.00 in costs and expenses. As Defendant does not challenge any of the costs and expenses sought by Plaintiff, the Court shall award the specified costs and expenses in Plaintiff's memorandum of costs in full.

Thus, the request for costs and expenses is granted in the amount of \$667.00.

RULING

Plaintiff Grigor Khechoyan's Motion for Attorneys' Fees and Costs is GRANTED IN PART in the amounts of \$14,375 in reduced attorney's fees and \$667.00 in recoverable costs and expenses, totaling \$15,042.